So only if the investor has big winners in their portfolio the math works from their point of view. Concludingly, an early stage investor is looking for confidence in your business idea that this will increase their capital 10X-50X in 5-7 years. So if they do not have that confidence in your idea, investment is unlikely.

For an investor, investing in your idea is not like buying shares of listed companies. You can always sell the shares at a loss for listed companies. Also, they generally dont go to zero. Against this, early stage investors take on lot more risk. Lot of their investments will go down to zero. Top 20% of their portfolio will make them most of the returns.

Onlythetop10-20%oftheportfolio makesthemmostoftheprofits


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